

Pre-examination Training for SC/ST/OBC candidates under Regular Recruitment Drive for Junior Associates General and Financial Awareness Set-04

Q.No	Question	Option 1	Option 2	Option 3	Option 4	Option 5	Correct Answer
1	SEBI is the regulatory body for which sector in India?	Banking	Securities and Stock Markets	Insurance	Pension Funds	Foreign Trade	Option 2 (B): Securities and Stock Markets
2	In which year was SEBI established?	1988	1992	1995	1998	2000	Option 1 (A): 1988
3	The Bombay Stock Exchange (BSE) is located in which city?	New Delhi	Mumbai	Kolkata	Chennai	Bengaluru	Option 2 (B): Mumbai
4	The benchmark index of the National Stock Exchange (NSE) is called:	Sensex	Nifty 50	BSE 100	Nifty Bank	Midcap 100	Option 2 (B): Nifty 50
5	The Sensex is the benchmark index of which stock exchange?	NSE	BSE	MCX	NCDEX	CDSL	Option 2 (B): BSE
6	How many companies constitute the BSE Sensex?	20	30	50	100	500	Option 2 (B): 30
7	A Mutual Fund pools money from investors and invests in:	Only gold	Only real estate	A diversified portfolio of securities	Only government bonds	Only foreign currency	Option 3 (C): A diversified portfolio of securities
8	NAV in the context of mutual funds stands for:	Net Asset Value	National Average Value	Net Annual Value	Net Available Value	National Asset Verification	Option 1 (A): Net Asset Value
9	A Systematic Investment Plan (SIP) allows investors to invest in mutual funds:	As a one-time lump sum only	In fixed periodic instalments	Only through banks	Only in government bonds	Only for tax-saving purposes	Option 2 (B): In fixed periodic instalments

10	An IPO refers to:	Initial Public Offering	Internal Profit Organisation	Investment Policy Order	Interest Payment Option	Indian Public Ownership	Option 1 (A): Initial Public Offering
11	Which of the following depositories facilitates holding shares in electronic form in India?	NSDL	RBI	SEBI	IRDAI	BSE	Option 1 (A): NSDL
12	A 'Bear Market' refers to a market condition where:	Prices are rising	Prices are falling	Prices remain stable	There is no trading	Only bonds are traded	Option 2 (B): Prices are falling
13	A 'Bull Market' refers to a market condition where:	Prices are falling	Prices are rising	Trading is suspended	Only mutual funds trade	Currency is devalued	Option 2 (B): Prices are rising
14	Which of the following instruments represents ownership in a company?	Bond	Debenture	Equity Share	Fixed Deposit	Treasury Bill	Option 3 (C): Equity Share
15	A Debenture is a type of:	Equity instrument	Debt instrument	Insurance product	Currency derivative	Real estate investment	Option 2 (B): Debt instrument
16	Treasury Bills (T-Bills) in India are issued for a maximum tenure of:	91 days	182 days	364 days	1 year	2 years	Option 3 (C): 364 days
17	Which regulatory body oversees commodity derivatives markets in India?	SEBI	RBI	IRDAI	PFRDA	NABARD	Option 1 (A): SEBI
18	The full form of FDI is:	Foreign Direct Investment	Foreign Domestic Investment	Fixed Deposit Investment	Financial Direct Instrument	Foreign Debt Investment	Option 1 (A): Foreign Direct Investment

19	FII stands for:	Foreign Institutional Investor	Financial Institutional Investment	Foreign Individual Investor	Fixed Institutional Interest	Foreign Insurance Investment	Option 1 (A): Foreign Institutional Investor
20	A 'Blue Chip' company refers to:	A newly listed startup	A financially strong and well-established company	A loss-making company	A government-owned company only	A company in liquidation	Option 2 (B): A financially strong and well-established company
21	Which of the following is a money market instrument?	Equity Share	Commercial Paper	Debenture	Mutual Fund Unit	Real Estate	Option 2 (B): Commercial Paper
22	The full form of ETF is:	Exchange Traded Fund	Equity Transfer Fund	External Trade Fund	Extended Term Fund	Equity Trading Facility	Option 1 (A): Exchange Traded Fund
23	A 'Rights Issue' allows a company to raise capital by offering shares to:	The general public only	Existing shareholders at a discounted price	Foreign investors only	Employees only	Government bodies only	Option 2 (B): Existing shareholders at a discounted price
24	Which index tracks the mid-cap companies on the NSE?	Nifty 50	Nifty Midcap 100	Sensex	BSE 30	Nifty Bank	Option 2 (B): Nifty Midcap 100
25	The term 'Dividend' refers to:	Interest paid on loans	A portion of company profit distributed to shareholders	Tax paid by companies	Penalty for late payment	Bonus paid to employees	Option 2 (B): A portion of company profit distributed to shareholders

26	A 'Stock Split' results in:	Reduction in number of shares and increase in face value	Increase in number of shares and decrease in face value	No change in shares	Merger of two companies	Delisting of shares	Option 2 (B): Increase in number of shares and decrease in face value
27	Which of the following best describes a 'Derivative'?	A financial instrument whose value is derived from an underlying asset	A type of savings account	A government bond	A form of insurance	A fixed deposit scheme	Option 1 (A): A financial instrument whose value is derived from an underlying asset
28	Futures and Options are examples of:	Equity instruments	Derivative instruments	Debt instruments	Insurance products	Money market instruments	Option 2 (B): Derivative instruments
29	The term 'Portfolio Diversification' refers to:	Investing all funds in one asset	Spreading investments across different assets to reduce risk	Withdrawing all investments	Investing only in gold	Avoiding the stock market	Option 2 (B): Spreading investments across different assets to reduce risk
30	Which of the following is considered a safe-haven asset during market volatility?	Equity shares	Gold	Cryptocurrency	Startups shares	Commodities futures	Option 2 (B): Gold
31	The Sovereign Gold Bond scheme is issued by which entity?	SEBI	RBI on behalf of the Government of India	Ministry of Mines	World Gold Council	NABARD	Option 2 (B): RBI on behalf of the Government of India

32	Which of the following is a key function of a Credit Rating Agency?	Setting interest rates	Assessing creditworthiness of borrowers/instruments	Regulating stock exchanges	Printing currency notes	Managing mutual funds	Option 2 (B): Assessing creditworthiness of borrowers/instruments
33	CRISIL, ICRA and CARE are examples of:	Stock Exchanges	Credit Rating Agencies	Insurance Companies	Mutual Fund Houses	Commodity Exchanges	Option 2 (B): Credit Rating Agencies
34	A 'Demat Account' is used for:	Holding shares and securities in electronic form	Only savings deposits	Foreign currency exchange	Insurance policies	Fixed deposit renewals	Option 1 (A): Holding shares and securities in electronic form
35	The full form of GDP is:	Gross Domestic Product	Government Development Programme	General Development Policy	Gross Domestic Policy	Government Domestic Product	Option 1 (A): Gross Domestic Product
36	Inflation is best defined as:	Fall in general price level	Rise in general price level over time	Fall in stock market indices	Rise in currency value	Decrease in unemployment	Option 2 (B): Rise in general price level over time
37	Which index is used to measure retail inflation in India?	Wholesale Price Index (WPI)	Consumer Price Index (CPI)	Sensex	Nifty	Index of Industrial Production	Option 2 (B): Consumer Price Index (CPI)
38	The RBI's inflation target under the flexible inflation targeting framework is:	2% with +/-1% band	4% with +/-2% band	6% with +/-2% band	3% with +/-1% band	5% with +/-1% band	Option 2 (B): 4% with +/-2% band

39	A 'Fiscal Deficit' refers to:	Excess of government expenditure over its total receipts (excluding borrowings)	Excess of exports over imports	Deficit in the current account	Shortfall in tax collection only	Trade deficit with a specific country	Option 1 (A): Excess of government expenditure over its total receipts (excluding borrowings)
40	Which of the following best defines 'Repo Rate' impact on inflation?	Increasing repo rate helps control inflation by reducing money supply	Increasing repo rate always increases inflation	Repo rate has no impact on inflation	Repo rate only affects exchange rates	Repo rate is unrelated to monetary policy	Option 1 (A): Increasing repo rate helps control inflation by reducing money supply
41	The Goods and Services Tax (GST) in India was implemented in which year?	2015	2016	2017	2018	2019	Option 3 (C): 2017
42	GST is a tax levied on:	Income of individuals	Supply of goods and services	Wealth of individuals	Corporate profits only	Foreign trade only	Option 2 (B): Supply of goods and services
43	Which of the following is NOT a component of GST in India?	CGST	SGST	IGST	VAT	UTGST	Option 4 (D): VAT
44	India's currency, the Rupee, is issued by which authority?	Ministry of Finance	Reserve Bank of India	SEBI	State Bank of India	Government of India directly	Option 2 (B): Reserve Bank of India
45	Which organisation compiles and releases India's GDP data?	RBI	Ministry of Finance	National Statistical Office (NSO)	NITI Aayog	SEBI	Option 3 (C): National Statistical Office (NSO)

46	The Wholesale Price Index (WPI) in India is released by which ministry/department?	Ministry of Finance	Ministry of Commerce and Industry	Ministry of Statistics	RBI	SEBI	Option 2 (B): Ministry of Commerce and Industry
47	A 'Face Value' of a share refers to:	The market price of the share	The nominal or par value assigned to a share	The dividend paid on a share	The premium charged on a share	The book value of a company	Option 2 (B): The nominal or par value assigned to a share
48	Which of the following best describes 'Market Capitalisation'?	Total debt of a company	Total value of a company's outstanding shares at current price	Annual profit of a company	Total assets of a company	Total revenue of a company	Option 2 (B): Total value of a company's outstanding shares at current price
49	A 'Contra Fund' in mutual funds refers to a fund that:	Invests only in government bonds	Invests against prevailing market trends	Invests only in gold	Invests only in foreign markets	Invests only in fixed deposits	Option 2 (B): Invests against prevailing market trends
50	Which of the following is a key objective of monetary policy set by the RBI?	Maximising government revenue	Price stability while supporting growth	Reducing exports	Increasing fiscal deficit	Controlling stock market indices directly	Option 2 (B): Price stability while supporting growth